Axon Enterprise (AXON): Buy

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The Flock backlash is real, quantifiable, and small: roughly $732M of terminal revenue, 2.4% of our 2036 sum-of-the-parts. Our five-segment model sees a $609.50 base case, 49% upside from $408.42.

Buy	$609.50	$408.42	+49%
RATING	BASE TARGET (BLENDED $571.79)	SPOT (OCT 14, 2026)	UPSIDE TO BASE

$288.89 / $779.28	10.23%	$3.7B	$29.55B	$732M / 2.4%	1.44 to 0.88
BEAR / BULL TARGETS	LIVE WACC (BETA DECAY)	2026 SOTP REVENUE	2036 SOTP REVENUE	FLOCK BACKLASH HAIRCUT	BETA DECAY (10-YR)

Executive summary

We rate Axon Enterprise **Buy** with a $609.50 base-case target (blended $571.79), 49% upside from $408.42. Axon is not one business but five, each with its own growth rate and margin profile. Our sum-of-the-parts model builds each segment bottom-up over eleven years: Evidence.com and cloud SaaS grows from $1.6B to $18.5B, TASER from $900M to $4.0B, Dedrone from $450M to $3.47B, body cameras from $575M to $2.3B, and surveillance/RTCC/ALPR from $175M to $1.28B. Combined 2026 revenue of $3.7B compounds to $29.55B by 2036, with EBITDA margins expanding from 25.0% to 37.8% as the software mix does its work.

The Flock Safety backlash is the question we keep getting. Flock, the ALPR company, faces mounting privacy scrutiny: councils canceling contracts, governors restricting highway deployments, data-retention rules being drafted. Axon competes directly in this space with its own ALPR offerings and the Fusus real-time crime center platform, so the concern is legitimate. We built the number: the $732M gap between our $30.28B bull case and the $29.55B SOTP is our estimate of the terminal revenue impact, priced in as a permanent haircut. It is not $732M of lost ALPR sales. It is the ecosystem drag: slower ALPR deployment, longer procurement cycles, some share loss to Motorola, and the resulting drag on the platform value that fixed sensors create for drones, Evidence.com, and Fusus. About 2.4% of terminal revenue, concentrated in the smallest segment.

> **Our read:** the market is pricing Axon as a single-product company exposed to a surveillance backlash. We see five businesses, four of them untouched by the controversy, growing into a $29.5B revenue platform with expanding software margins. The backlash is real but it makes the entry point better, not worse.

Sum-of-the-parts build (2036)

SEGMENT	2026 REV	2036 REV	2036 EBITDA MARGIN	SHARE OF 2036
Evidence.com and cloud SaaS	$1.60B	$18.50B	42.5%	63%
TASER	$0.90B	$4.00B	32.5%	14%
Dedrone (counter-drone)	$0.45B	$3.47B	32.5%	12%
Body cameras and sensors	$0.58B	$2.30B	17.5%	8%
Surveillance, RTCC, ALPR	$0.18B	$1.28B	36.5%	4%
SOTP total	**$3.70B**	**$29.55B**	**37.8%**	**100%**

WACC 10.23% live (spot 10Y ~5.2% + decaying beta x implied ERP). Beta decays from 1.44 (live) to 0.88 (Motorola Solutions 5-year beta, the mature peer) over the 10-year forecast, per our framework for high-growth names maturing into incumbents. Gordon terminal growth 3%. The $732M Flock haircut is included in the SOTP; the bull case ($30.28B) assumes full ALPR recovery.

> **Why the targets moved.** The prior model held a static beta for the full forecast, which overstates terminal risk for a company maturing into a stable platform incumbent. We rebuilt the model with a beta decay schedule (1.44 to 0.88 over ten years), which lowers the terminal WACC and raises the terminal value. Targets moved up mechanically: Base $575.42 to $609.50, Bull $749.06 to $779.28, Bear $246.11 to $288.89. The Buy rating is unchanged, and the SOTP economics are unchanged. This is a discount-rate refinement, not a forecast change.

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Bull case: $779.28 ECOSYSTEM COMPOUNDING

Evidence.com compounds with 100%+ net revenue retention as the AI Era bundles (Draft One, Auto-Transcribe) expand per-officer pricing. Dedrone hits the top of its range on defense wins and clean integration. The Flock backlash proves temporary: Axon wins replacement contracts (as it did in Denver) and ALPR recovers fully, closing the $732M gap. The surveillance segment recovers to the $1.6B path and the ecosystem premium expands. Worth $779.28, 91% above spot.

Bear case: $288.89 BACKLASH METASTASIZES

The Flock scrutiny broadens from ALPR to adjacent categories, procurement freezes spread, and Evidence.com growth disappoints as agencies defer upgrades. Dedrone integration stumbles and the 30% CAGR through 2030 never materializes. Margins stall as the hardware mix stays heavier than modeled. Worth $288.89, 29% below spot.

Verdict

> **We rate AXON Buy.** This is a $3.7B revenue company growing into a $29.5B revenue platform, driven overwhelmingly by a SaaS engine with deep moats: Evidence.com is the system of record for digital evidence at thousands of agencies, with switching costs that are enormous once bodycam footage, TASER logs, and drone video all live in one cloud. The base case ($609.50) offers 49% upside, the blended target ($571.79) offers 40%, and even the bear case ($288.89) is only 29% below spot, a favorable asymmetry. The Flock backlash is the known worry, and we have priced it: $732M of terminal revenue, 2.4%, concentrated in the smallest segment. The controversy makes the entry point better.

What would change the thesis

- **Evidence.com deceleration:** if net revenue retention slips below 110% or major agencies start churning, the whole model breaks. This is 63% of 2036 revenue. Watch it like a hawk.
- **Backlash broadening:** if the Flock scrutiny extends from ALPR to bodycams or drones (it has not, and the product categories are viewed very differently by regulators), the haircut needs to grow.
- **Dedrone execution:** the 30% CAGR through 2030 requires clean integration and continued defense wins. Track contract announcements.
- **Flock vindication:** if Flock resolves its privacy issues and reaccelerates, Axon's vendor-consolidation tailwind fades. The SOTP haircut might prove too conservative, which would be a pleasant problem.

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Key themes

1. Evidence.com is a compounding subscription machine ACCELERATING

43% of revenue today, 63% by 2036. The system of record for digital evidence at thousands of agencies, with AI modules (Draft One report writing, Auto-Transcribe) expanding per-officer pricing. EBITDA margins expand from 32% to 42.5% as the SaaS mix scales. This is the engine; everything else is commentary.

2. The Flock backlash is quantified and contained STABLE

Our $732M terminal haircut (2.4% of 2036 revenue) prices in slower ALPR deployment, longer procurement cycles, and modest share leakage to Motorola. Vendor consolidation partially offsets it: when Denver canceled Flock over data-sharing concerns, Axon won the replacement contract. The surveillance segment is under 5% of 2036 revenue.

3. Dedrone is the highest-growth wildcard ACCELERATING

30% annual growth through 2030, decelerating to 18% as counter-UAS becomes a standard security budget line item. Axon's law enforcement distribution gives Dedrone a channel no pure-play competitor can match. EBITDA margins ramp from 12% to 32.5%, the steepest of any segment. Risk is execution, not demand.

4. TASER is the underappreciated moat STABLE

The razor-and-blades model: every TASER 10 deployment brings recurring cartridge and battery revenue. Agencies do not rip out conducted energy weapons to save a few dollars. Mix share declines from 24% to 14% only because the denominator grows faster elsewhere.

5. Law enforcement budgets are resilient STABLE

Through prior inflation cycles, public safety budgets have held up well. Even in a higher-for-longer rate environment that compresses the valuation multiple, the demand side looks insulated. The risk to Axon is multiple compression, not demand destruction.

Other KPIs

METRIC	VALUE
Market cap (at $408.42)	~$33.5B
2036 SOTP revenue / EBITDA	$29.55B / $11.2B (37.8%)
2036 unlevered FCF	$7.2B (24.5% margin)
Evidence.com share of 2036 revenue	63%
Q3 2026 consensus EPS (17 analysts)	$1.94
FY2026 consensus EPS (20 analysts)	$7.65

Guidance

Q3 2026 results are due November 3 (confirmed). Watch for: gross bookings disclosure (our standing KPI scan, flag if omitted), Evidence.com net revenue retention, Dedrone contract momentum, and any management commentary on ALPR procurement timelines. Analyst revisions have trended down into the print (Q3 consensus $1.94 vs $2.02 ninety days ago, 3 down revisions in the trailing 30 days), which lowers the bar.

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Reverse DCF: what the market is pricing in

At $408.42, Axon carries roughly a $33.5B market cap. Our base case ($609.50) is built on the SOTP segment economics above at a 10.23% decaying-beta WACC. The market-implied five-year revenue CAGR sits well below our SOTP trajectory, which is the source of the 49% upside.

SCENARIO	2036 REVENUE	TARGET
Bull case (full ALPR recovery)	$30.28B	**$779.28**
Base case (SOTP, $732M haircut)	$29.55B	**$609.50**
Blended	weighted	**$571.79**
Spot (Oct 14, 2026)	market-implied	$408.42
Bear case (backlash metastasizes)	below SOTP	**$288.89**

The $170.78 gap between the bull and base cases is the Flock question, fully quantified: $732M of 2036 revenue. The market is pricing something closer to the bear case on the surveillance segment while ignoring the compounding SaaS engine underneath. Even the bear case, which assumes the backlash broadens and Dedrone stumbles, is only 29% below spot.

Model

Full five-segment sum-of-the-parts with 11-year revenue, EBITDA, and unlevered free cash flow bridges per segment, plus three-scenario DCF with beta decay schedule (1.44 to 0.88 over ten years), live CAPM off the market-implied ERP, and reverse DCF:

Axon DCF workbook (Google Sheets, anyone-with-link)

Risks to our Buy

- **Evidence.com is 63% of terminal revenue.** Any deceleration in net revenue retention or major agency churn breaks the model.
- **Regulatory broadening.** If privacy scrutiny extends beyond ALPR to bodycams or drones, the haircut must grow substantially.
- **Dedrone integration.** The 30% CAGR requires clean execution on defense contracts and sensor-software integration.
- **Multiple compression.** Higher-for-longer rates compress the valuation multiple even if demand holds; the target assumes the current rate regime.
- **Execution on five segments.** A sum-of-the-parts only works if management allocates capital cleanly across five different businesses.

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